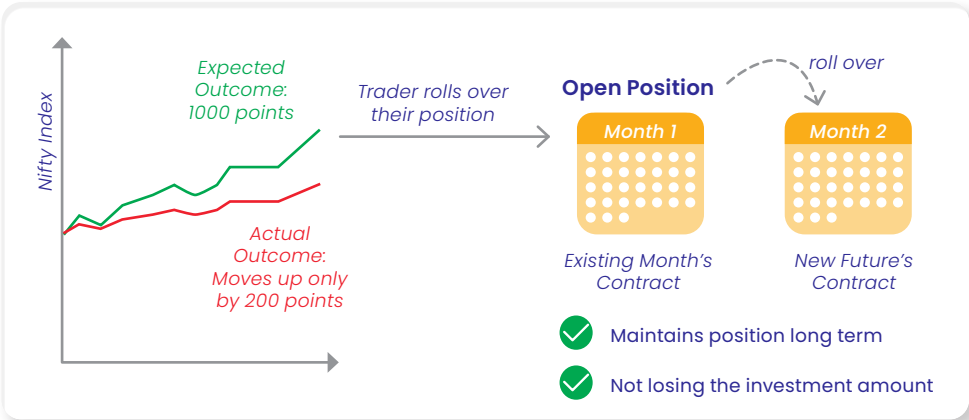


Let us take an example. Suppose a futures trader believes the Nifty index will increase by 1,000 points. However, it only moves up by 200 points. In this case, the trader can 'roll over' their position by exiting the current month's contract. They can shift to the next month's contract. This tactic enables you to maintain your position in the long term without losing your investment amount.



One thing to note is that you cannot buy a futures contract for a single share. Typically, futures contracts will have lot sizes of 75 to 250 shares. You cannot trade in fractional lots. So, if the lot size is 250, you cannot buy a futures contract for 350 shares or 1.4 lots.

